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Oil Price Shock May Negatively Affect the Auto Industry, Especially the Detroit 3

J. Will Greene, Regional Economist
Seamus Fahey, Economic Research Assistant

The U.S. auto industry enjoyed several years of strong profitability following the pandemic as prices surged due to supply shortages and strong demand. However, profits fell as support for the once-burgeoning electric vehicle market was withdrawn and global trade headwinds picked up. The outbreak of conflict in the Middle East caused a sharp rise in oil prices, adding another stressor to the sector. While factors like an increasingly affluent buyer base, lower inventories, and relatively low incentives could alleviate revenue and cost pressures, much higher commodity prices are a key risk for the auto sector. The Detroit 3 are particularly at risk due to their concentration in producing larger and more expensive vehicles.¹

The conflict in Iran led to an immediate spike in oil and gasoline prices. Global oil prices rose sharply following the outbreak of fighting with Iran, as shipments coming out of the Strait of Hormuz quickly fell. Between February 27 and March 27, 2026, oil prices for the U.S.-based West Texas Intermediate benchmark rose more than 40 percent. This price shock was the fourth-highest month-over-month increase in the history of the index.² After the announcement of a temporary ceasefire on April 7, oil prices fell but remained well above pre-conflict prices. Gasoline prices, which generally rise and fall with oil prices, rose 36 percent in March to nearly \$4 a gallon by the end of the month.³

Auto affordability was strained before the recent rise in energy costs. The price of a new vehicle remained elevated in 2025, rising more than \$10,000 since 2019 to nearly \$50,000 following a drop in supply due to the pandemic and a semiconductor shortage. Similarly, the costs of services associated with owning a car increased following the pandemic, making ownership even more costly. Between fourth quarter 2019 and first quarter 2026, the price of car insurance increased 56 percent and motor vehicle repair costs rose 67 percent—well above overall price growth of 29 percent in the same period. Increasing levels of unaffordability may be showing in auto loan

¹ The Detroit 3 are General Motors, Ford Motor Company, and Chrysler (part of Stellantis).

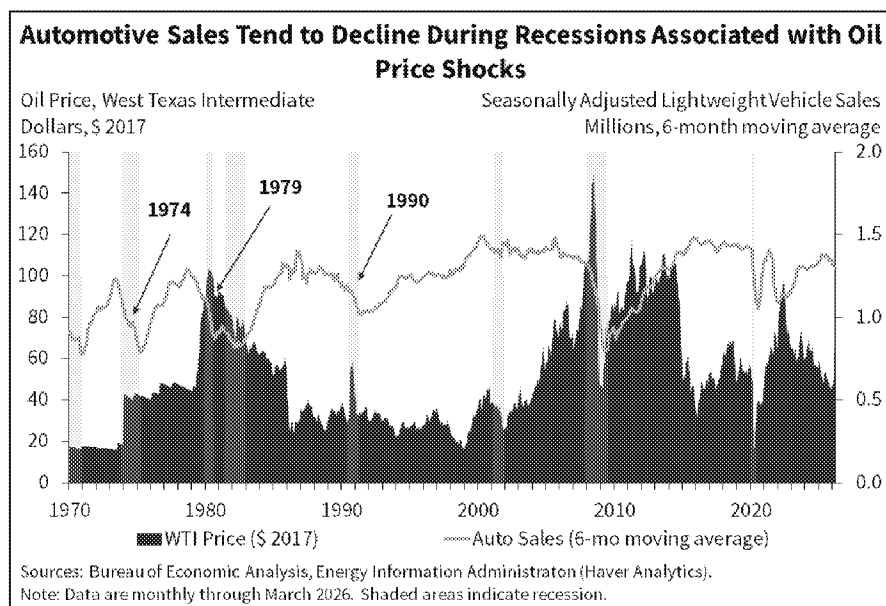
² The March 2026 increase was less than price jumps due to the oil embargo of 1973 (132 percent), recovery following the initial shock of the pandemic (72 percent), and the outbreak of the Gulf War in 1990 (45 percent).

³ Energy Information Administration (EIA). Crude oil accounted for 51 percent of the cost of regular gasoline and 41 percent of diesel in January 2026. For more information, see [“Gasoline and Diesel Fuel Update,”](#) EIA.

payments as well. The average auto loan payment for a new car increased to \$760 in 2025, giving way to longer loan terms. Stress is also showing as consumers seek to trade in vehicles. In March 2026, the trade-in for nearly one-third of car buyers had negative equity, up 4 percentage points from 2025. This rate has been steadily increasing since 2022.

Rising oil and gas prices have historically weighed on the economy and auto sales. Three of the largest shocks in oil price history happened at the onset of recessions in 1974, 1979, and 1990. All three price shocks were followed by notable periods of depressed auto sales, particularly the 1974 and 1979 price shocks (Chart 1). Sales also shifted away from less fuel-efficient vehicles, such as large trucks and SUVs, during periods of elevated prices. While gas-powered trucks and SUVs have become more efficient since 1975, these vehicles, particularly pickup trucks, remain less efficient than sedans and wagons. The U.S. automotive industry, especially the Detroit 3, relies on the sales of these more profitable vehicles and may become less competitive with foreign automakers as a result.⁴ The Detroit 3 have moved away from the production of fuel-efficient and electric vehicles and had the lowest U.S. fuel efficiency across large auto companies in model year 2024.

Chart 1



Continuation of the Iran conflict may weigh on production as material prices rise. The closure of the Strait of Hormuz could also affect auto production as shipments carrying necessary materials

⁴ For example, Ford's truck and SUV factory in Louisville, Kentucky, was recently estimated to make up about one-sixth of the company's revenue. The average March 2026 transaction price for a compact car (\$27,469) was well below the same figure for a midsize SUV (\$49,853) and a full-size pickup truck (\$65,954). See "[Kelley Blue Book Report: New Vehicle Price Increases Accelerate in March as Large Trucks and SUVs Gain Share](#)," Cox Automotive, April 9, 2026.

for vehicle manufacturing are cut off. Prices for aluminum—a critical component in multiple areas of car production—reached a four-year high in mid-April after the outbreak of the conflict, adding pressure to an already stressed supply chain.⁵ About one-fifth of aluminum imported to the United States comes from the Gulf Region. Petrochemicals such as oil are used in the production of plastics and other products widely used by the auto industry. Additionally, the region around the Strait is a source of components used in semiconductor production, potentially affecting a key component in new autos.

A more upscale buyer base may lessen the impact of higher auto-related costs. Despite spikes in crude oil and gasoline prices, consumer behavior is difficult to shift, particularly in the short term. The market for new cars is generally made up of wealthier households, as the median household that buys a new car makes \$153,000 a year, 80 percent higher than national median household income. The share of all auto loan originations by volume by subprime borrowers fell to 16 percent in 2025, well below the 2019 share of 20 percent and the 2007 share of 29 percent. Particularly wealthy households feel more upbeat about the economy due to their greater exposure to the turbulent but robust stock market and have continued to purchase a similar amount of gasoline despite the sharp rise in prices. In March, real gasoline spending by high-income households fell 1 percent from the prior month, while middle-income household spending fell 5 percent and low-income household spending fell 7 percent.⁶ Positive sentiment from wealthier households is likely to remain unless the oil price spike is sustained over a longer period and the stock market drops considerably as a result. Additionally, improved fuel efficiency of newer vehicles and higher consumer income in recent years have kept the percentage of disposable personal income spent on gasoline and other energy products lower than during energy price shocks between 1974 and 1990.

Automakers are better able to address market weakening now than just before the Great Financial Crisis (GFC) due to lower inventories, relatively low incentive levels, and strong profits. While inventories have risen from lows reached in 2022 during the chip shortage, they have stabilized at relatively low levels. Low inventories stand in contrast to elevated inventories before the 2001 recession and the GFC. Higher inventories in those periods were a key stressor. Likewise, incentives offered by automakers remain below 2019 levels even though the average transaction price has risen more than \$10,000, suggesting that automakers can offer more incentives if sales begin to slump.

Detroit 3 automakers entered the GFC with negative earnings due to increased competition from foreign automakers and ongoing restructuring. Negative earnings weakened the Detroit 3 and exacerbated challenges during the recession. The auto sector recovered after the GFC and

⁵ Aluminum supply chains became strained in late 2025 after a fire closed a New York aluminum factory. Bob Tita, “An Aluminum Crisis Is Roiling the Auto Industry,” *The Wall Street Journal*, May 3, 2026.

⁶ Rajashri Charabarti, Thu Pham, Beck Pierce, and Maxim Pinkovskiy, “Same Shock, Different Roads? A K-Shaped Pattern at the Pump,” *Federal Reserve Bank of New York Liberty Street Economics*, May 6, 2026.



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recorded a 5 percent to 6 percent profit margin in 2018 and 2019. Automakers' operating margin rose to more than 8 percent from 2021 to 2023 as the economic recovery and the chip shortage led to robust demand for auto products. While profits were low in 2025 as the industry adjusted to policy changes, company profits excluding special items remained positive, leaving the Detroit 3 automakers in a better position than before the GFC.⁷

Higher oil prices due to the conflict may cause delinquency rates among auto and other consumer lending categories to rise as higher energy costs weigh on household finances. Bank lending may also decline should the economy weaken. Growth in auto loan balances held by households slowed or fell during the three periods associated with oil price shocks. While the outlook is uncertain and the risks to the auto sector are growing, a more affluent buyer base and better automaker positioning should provide some cushion for automakers.

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J. Will Greene, Regional Economist
(312) 382-7592, jogreene@fdic.gov
Seamus Fahey, Research Assistant
(312) 382-7595, sefahey@fdic.gov

Another article on the subject in the Risk Analysis Center:

[“Higher Oil Prices May Slow the U.S. Economy but Will Have Slight Direct Impact on Banks in 2026,”](#)
Krishna Patel, March 16, 2026

⁷ Ford and Stellantis reported losses in 2025 due to special items related to shifting business strategies; both companies were profitable excluding those special items.

